Horizon Asia Opportunity

Third Quarter Commentary

October 2015

In the third quarter of 2015, the Horizon Asia Opportunity Composite ("Strategy") declined 9.8%, net of fees, compared to the MSCI All Countries Asia Index, which declined 14.6%. The Strategy's holdings in Thailand, and the Philippines, as well as Consumer Discretionary names in Japan and India contributed positively to relative returns, in addition to our higher than usual cash position. Positions in Hong Kong companies detracted from relative performance.

Volatility returned to the global financial markets during the quarter. This time, the epicenter was China. After the spectacular rise of A share equity markets in the past 12 months (125.6% from the bottom to the peak, as measured by the Shanghai Stock Exchange Composite Index), investors were blindsided by a sudden and sharp decline of the equity markets in July. There was no clear fundamental reason for the decline. However, once it began, investors were forced to sell to meet margin calls for their margin loans, which reached their peak at 9% of the total market capitalization of the Shanghai A share market, exacerbating the impact of the selloff.

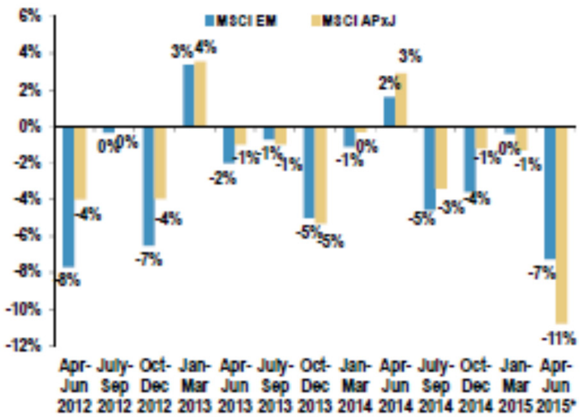
The Chinese government dealt with this sudden and violent market decline with draconian measures. The government simply halted trading in some of the company shares listed in the Shanghai and Shenzhen markets, as well as forbade government-owned financial institutions from selling any shares. In addition, the government has aggressively acquired A shares in order to support the market. These measures did little to calm the market, and eventually, the government threatened market participants, senior management of the brokerage companies and journalists with arrests in order to keep them from making any negative comments about the markets.

To make matters worse, in mid-August, the Chinese central bank, The People's Bank of China ("PBOC"), suddenly announced that it would immediately be lowering the trading band of the Chinese Yuan, effectively devaluing the currency after the International Monetary Fund ("IMF") advised the PBOC to liberalize the currency market further in order for the IMF to consider adding the Yuan to the Special Drawing Rights basket ("SDR"), the basket of the world reserve currency. The Yuan's inclusion was the PBOC's priority and they have been working very hard toward this for quite some time. There was hope of this materializing in the fall of 2015, however, the IMF's recommendation pushed the timeline of inclusion further into the future. In hindsight, the IMF's recommendation was the true reason for the devaluation of the Yuan, but when it occurred, the market took it as another sign of the Chinese government's lack of confidence in its economy and its effort to prop up the export/manufacturing sectors of the economy. The timing of this devaluation was most unfortunate and resulted in an unintended outcome, namely, further downward pressure on the Chinese financial markets. This also exposed the fact that the authoritarian communist government really was not in full control of the direction of its economy after all, and the different branches of the government were not working together to resolve this financial turmoil.

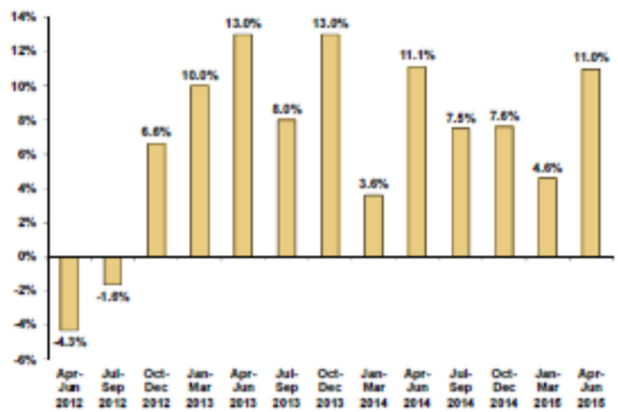
China is going through a major economic realignment as it moves away from investment-driven growth to domestic consumption-driven growth. However, making that shift is easier said than done. We believe the senior leadership is strongly committed to this reform, but may have to resort to more authoritarian measures temporarily in order to tighten its control of the country. While this transition is taking place, we are expecting to see some rough patches. We expect corporate earnings in China to be under pressure going forward as a result of the global economic slowdown and the volatility in the Chinese financial markets. We continue to be very cautious with respect to investing in the local equity markets in China.

The bright spot in Asia continues to be Japan and its corporate earnings outlook. (see figures below).

APxJ and EM Quarterly Net Income Surprise vs. Consensus Estimates – 11 Quarters of Earnings Miss in the Last 13 Quarters



Japan: Quarterly Net Income Surprise vs. Consensus Estimates – 11th Straight Quarter of Earnings Beat



Source: Morgan Stanley Research, MSCI, Bloomberg, RIMES, IBES. *Based on reported market cap of 95% for TOPIX, 36% for EM (Emerging Markets) and 27% for APxJ (Asia Pacific ex Japan). Data as of Aug 18, 2015.

Aided by the weakened yen and improved corporate efficiency, Japanese corporations revised their earnings outlook upward again in the first quarter (ended on June 30). More companies are announcing dividend increases and share buybacks (using cash on their balance sheets, unlike their US counterparts which have been issuing debt to finance their share repurchases). The Abe government's approval rating temporarily dropped after a contentious fight over national security regulation changes. Now facing a renewed global economic slowdown, the government is expected to develop and announce new fiscal and monetary stimulus in the coming months. The Bank of Japan (BOJ) is still very much committed to attaining a 2% inflation rate, and Prime Minister Abe announced a new nominal GDP growth rate of 3%. In order to achieve this goal, the government will have to reintroduce the third arrow of its growth strategy, which should include labor regulation reform and the introduction of immigration policy. Valuations remain undemanding, and, we believe, there is still a lot of room for improvement in corporate profitability and returns.

We continue our research efforts to discover new owner-operator companies in Asia. We have been very wary of the financial markets as the liquidity generation by central banks has been ending, and we have positioned our portfolio accordingly. We raised cash during the first 9 months of this year. We believe that over the next 12 months opportunities will present themselves, allowing us to deploy this cash for long term capital appreciation.

DISCLOSURES

Past performance is not indicative of future returns. This information should not be used as a general guide to investing or as a source of any specific investment recommendations, and makes no implied or expressed recommendations concerning the manner in which an account should or would be handled, as appropriate investment strategies depend upon specific investment guidelines and objectives. This is not an offer to sell or a solicitation to invest.

This information is intended solely to report on investment strategies as reported by Horizon Kinetics LLC. Opinions and estimates offered constitute our judgment and are subject to change without notice, as are statements of financial market trends, which are based on current market conditions. Under no circumstances does the information contained within represent a recommendation to buy, hold or sell any security, and it should not be assumed that the securities transactions or holdings discussed were or will prove to be profitable. There are risks associated with purchasing and selling securities and options thereon, including the risk that you could lose money.

The Shanghai Stock Exchange Composite Index tracks the daily price performance of all A-shares and B-shares listed on the Shanghai Stock Exchange. The index was developed on December 19, 1990 with a base value of 100. Index trade volume on Q is scaled down by a factor of 1000.

The MSCI All Countries Asia Index captures large and mid-cap companies represented across 3 Developed Markets countries and 8 Emerging Markets countries in Asia. With 930 constituents, the index covers approximately 85% of the free float-adjusted market capitalization in each country.

The MSCI Emerging Markets Index captures large and mid cap representation across 23 Emerging Markets (EM) countries. With 837 constituents, the index covers approximately 85% of the free float-adjusted market capitalization in each country.

The MSCI AC Asia Pacific ex Japan Index captures large and mid cap representation across 4 of 5 Developed Markets countries (excluding Japan) and 8 Emerging Markets countries in the Asia Pacific region. With 687 constituents, the index covers approximately 85% of the free float-adjusted market capitalization in each country.

Tokyo Stock Price Index ("TOPIX") is a free-float adjusted market capitalization-weighted index that is calculated based on all the domestic common stocks listed on the TSE First Section. TOPIX shows the measure of current market capitalization assuming that market capitalization as of the base date (January 4, 1968) is 100 points. This is a measure of the overall trend in the stock market, and is used as a benchmark for investment in japan stocks.

Returns have not been independently verified and are subject to change. Note that indices are unmanaged, and the figures shown herein do not reflect any investment management fee or transaction costs. Investors cannot directly invest in an index. References to market or composite indices, benchmarks or other measures of relative market performance (a "Benchmark") over a specific period are provided for your information only. Reference to a Benchmark may not reflect the manner in which a portfolio is constructed in relation to expected or achieved returns, portfolio guidelines, correlation, concentrations, volatility, or tracking error targets, all of which are subject to change over time. The strategy is a total return strategy, and the benchmark is provided for illustrative purposes only. It is not our intention to state, indicate or imply in any manner that our future results will be profitable or equal past results.

Horizon Kinetics LLC ("Horizon Kinetics") is the parent company to several US-registered investment advisers, including Horizon Asset Management LLC ("Horizon") and Kinetics Asset Management LLC ("Kinetics"). Horizon and Kinetics manage separate accounts and pooled products that may hold certain of the securities *mentioned herein. Horizon is the investment manager to the strategy referenced herein. For more information on Horizon Kinetics, you may visit our website at www.horizonkinetics.com.*

Asia Opportunity - Institutional Composite

As of 9/30/2015

HORIZON KINETICS

Investment Approach

- The strategy seeks long term capital appreciation by investing in undervalued stocks in Asia.
- Our investment process involves bottom-up, fundamental research to identify mispriced securities. We conduct face to face meetings with managements and competitors as well as analysis of business models and balance sheets. The strategy emphasizes management quality, with a preference for owner-operator companies.
- Returns are often generated by identifying businesses that cater to local economies, e.g. infrastructure, consumer, financial services, etc. Although the majority of the holdings are equities, the portfolio may invest in other parts of the capital structure when the research process identifies unique opportunities.

Portfolio Construction

- The strategy generally seeks to avoid significant portfolio turnover which has historically averaged 20 to 25% per annum.
- Portfolio typically invests in 30 to 40 securities and position sizes generally range from 0.5% to 10.0%
- The portfolio seeks to manage co-dependency across business models and does not measure risk versus a specific benchmark.

Investment Time Horizon:
5+ Years

Representative Benchmark:
MSCI All Country Asia

Asset Under Management:

Horizon Kinetics ($bln)	7.6
Horizon Institutional ($bln)	2.8

Inception Date:
January 2008

Portfolio Manager:
Murray Stahl
37 yrs investment experience

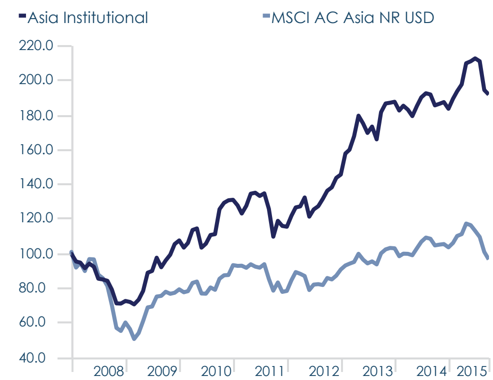
Aya Weissman
32 yrs investment experience

(1)Horizon Kinetics LLC is the parent company to Horizon Asset Management LLC, Kinetics Asset Management LLC, and Kinetics Advisers, LLC, each of which is an SEC-registered investment adviser.
(2)Horizon Institutional is defined as the traditional, long only separate accounts and private investment fund assets managed by Horizon Asset Management LLC. Horizon Institutional excludes separately managed, non-direct accounts and other accounts that either are serviced by wrap/dual contract sponsors or utilize a wrap or bundled fee structure. Please refer to Important Disclosures on the following page.

Performance Statistics	MTD	QTD	YTD	1 Yr	3 Yrs	5 Yrs	ITD
Total Return (gross)	-1.4	-9.8	4.5	3.4	12.1	8.8	8.8
Total Return (net)	-1.4	-10.0	3.7	2.3	10.9	7.7	7.7
MSCI All Asia NR	-4.3	-14.6	-6.7	-7.7	4.0	2.5	-0.6
Excess Return (gross)	*2.9*	*4.8*	*11.2*	*11.1*	*8.1*	6.3	9.3
Standard Deviation (%)	—	—	—	11.7	12.2	14.0	16.0
Tracking Error (%)	—	—	—	5.0	6.2	8.1	10.5
Sharpe Ratio	—	—	—	0.3	1.0	0.7	0.6
Information Ratio (arith)	—	—	—	2.2	*1.3*	*0.8*	*0.9*
Beta	—	—	—	0.8	1.0	0.9	0.7
UpMkt Capture Ratio (%)			—	109	124	102	93
Down Capture Ratio (%)			—	53	74	66	55

Cumulative Growth of $100 *(gross)*

Time Period: 12/31/2007 to 9/30/2015



Top 10 Holdings	% Port
Pigeon Corporation Unsponsored ADR	6.12%
transcosmos Inc.	5.72%
Shanghai Fosun Pharmaceutical (Group) Co., Ltd. Class H	3.81%
Cookpad Inc.	3.81%
Genting Hong Kong Limited	3.67%
Unicharm Corporation	3.57%
Next Co., Ltd.	3.51%
H.I.S.Co., Ltd.	3.02%
Minor International Public Co., Ltd.	2.99%
Kakaku.Com, Inc.	2.92%

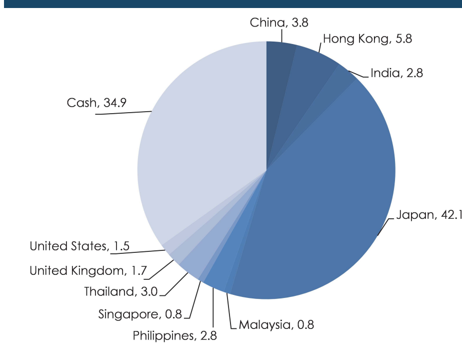
Strategy Characteristics	
Number of Positions	31
Avg. Market Cap. (B)	6.2
P/E [1]	10.2
Price/Book [1]	2.1
Dividend Yield	1.2%
Turnover (1 Year)[2]	10.1%
Active Share[3]	98.8%

[1] Weighted Harmonic Average

[2] Based on Model Portfolio

[3] Calculated as of the most recent quarter-end using the MSCI AC Asia Index as a benchmark.

Country Allocaton (%)



Source: Morningstar Direct

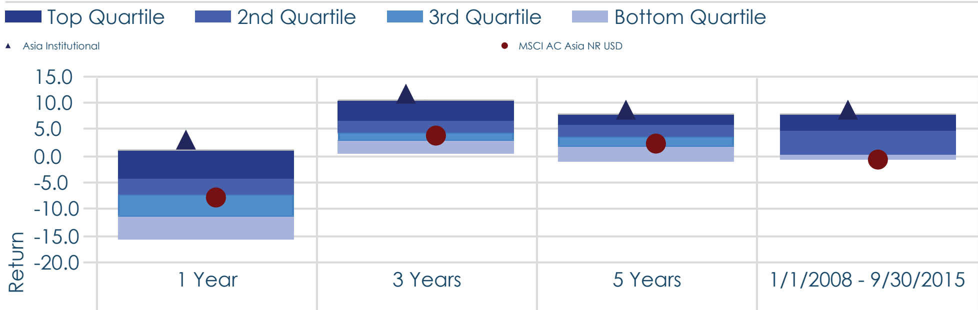
Asia Opportunity - Institutional Composite

As of 9/30/2015

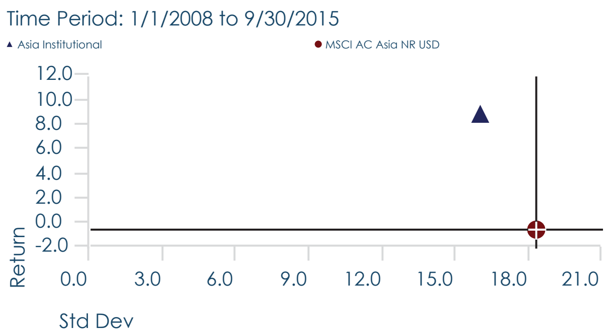
HORIZON KINETICS

Performance Relative to Peer Group *(gross)*

As of Date: 9/30/2015 Peer Group (5-95%): Separate Accounts/CITs - U.S. - Diversified Pacific/Asia



Risk/Reward *(gross)*



Monthly Performance *(gross)*

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD	Index
2015	3.2	2.3	2.0	6.2	0.5	0.8	-0.8	-7.9	-1.4				4.5	-6.7
2014	-2.7	1.5	-1.2	-2.0	3.2	2.7	1.2	-0.4	-3.3	0.5	0.5	-2.1	-2.2	0.5
2013	8.4	1.4	4.9	7.1	-2.5	-3.1	2.2	-4.3	9.5	2.8	0.2	0.3	28.8	13.4
2012	5.5	4.0	0.5	4.0	-8.4	3.4	1.5	3.3	3.6	1.4	4.0	1.3	26.0	15.8
2011	-2.5	-3.7	3.6	5.5	0.4	-1.4	1.1	-6.7	-12.7	8.3	-2.5	-0.4	-11.9	-15.9
2010	-3.9	2.6	7.0	0.8	-9.7	2.2	4.7	0.4	12.9	2.9	1.1	0.2	21.8	17.6
2009	-0.8	-1.9	3.9	6.8	13.4	1.1	8.5	-5.7	4.2	3.5	6.2	2.0	48.0	31.7
2008	-4.4	-0.7	-3.4	2.9	-1.9	-7.5	-0.5	-0.9	-6.0	-10.1	-0.2	2.1	-27.2	-40.3

Source: Morningstar Direct

Definitions: Historical Statistics

- *Excess Return is the measurement of a portfolio's return minus the return of the representative index.*
- *Standard Deviation is a statistical measure of the degree to which an individual value in a probability distribution tends to vary from the mean of the distribution.*
- *Tracking Error is the standard deviation of a portfolio's return relative to a benchmark.*
- *Sharpe ratio is a statistical measure that uses standard deviation and excess return to determine reward per unit of risk. A higher Sharpe ratio implies a better historical risk-adjusted performance. Morningstar chooses a risk-free benchmark based on the portfolio's domicile, e.g. the 3-month Treasury bill for portfolios based in the United States.*
- *Information Ratio is a ratio of portfolio returns above the returns of a benchmark (usually an index) to the volatility of those returns.*
- *Beta is a measure of the volatility, or systematic risk, of a security or a portfolio in comparison to the market as a whole.*
- *Up-Market Ratio is the statistical measure of an investment manager's overall performance in up-markets. The ratio is calculated by dividing the manager's returns by the returns of the index during the up-market.*
- *Down-Market Ratio is the statistical measure of an investment manager's overall performance in down-markets. The ratio is calculated by dividing the average manager's returns by the average returns of the index during the down-market.*
- *Turnover is the lower of total buys or total sells divided by the average market value of the account. Turnover ratio is calculated by Fiserv APL.*
- *Active Share is a measure of the percentage of holdings in a portfolio that differ from a benchmark index. It is calculated by taking the sum of the differences of the weight of each holding in the portfolio and the weight of each holding in the benchmark index and dividing by two. Active share is measured against the strategy's primary benchmark.*

Important Disclosures

Horizon Asset Management Institutional ("Horizon Institutional" or "the Firm") is defined as the traditional long only separate accounts and private investment fund assets of Horizon Asset Management LLC. ("Horizon" or the "Firm"), an SEC-registered investment adviser and a wholly owned subsidiary of Horizon Kinetics LLC. Horizon Institutional excludes separately managed, non-direct accounts and other accounts that either are serviced by wrap/dual contract sponsors or utilize a wrap or bundled fee structure. Horizon Institutional claims compliance with the Global Investment Performance Standards (GIPS®). A GIPS® compliant presentation and/or a list of composite descriptions are available upon request by contacting CSBD@horizonkinetics.com.

The Horizon Asia Opportunity Composite ("Strategy") seeks above market long-term returns by investing primarily in a focused portfolio of common stocks of Asian issuers.

Performance is expressed in USD. Past performance does not guarantee future results and the value of the investments and the income derived from them may increase or decrease. Note that indices are unmanaged and the figures shown herein do not reflect any investment management fee or transaction costs. Investors cannot directly invest in an index. References to market or composite indices, benchmarks or other measures of relative ma rket performance (a "Benchmark") over a specific period are provided for your information only. Reference to a Benchmark may not reflect the manner in which a portfolio is constructed in relation to expected or achieved returns, portfolio guidelines, correlation, concentrations, volatility or tracking error targets, all of which are subject to change over time. The Strategy is a total return strategy and the benchmark is provided for illustrative purposes only. It is not our intention to state, indicate or imply in any manner that our future results will be profitable or equal past results.

On February 29th 2012 the benchmark for the Horizon Institutional Asia strategy was changed retroactively from the S&P Asia 50 index to the MSCI All Country Asia Index, as we believe that the regional coverage within the MSCI All Country Asia Index better reflects the universe of the strategy (The MSCI All Country Asia is an equity index drawn from eleven major Asian markets – Japan, Hong Kong, Singapore, Korea, Taiwan, China, Philippines, Malaysia, India, Indonesia, and Thailand.) It is designed for investors seeking broad market exposure through an index that is efficient to replicate. The underlying prices for the MSCI All Country Asia are collected in local currencies and index levels are released in U.S. dollars and calculated on a real-time basis).

Unless otherwise noted, the portfolio characteristics shown above relate to the composite as of the date noted above. Not every client's account will have these exact characteristics. The actual characteristics with respect to any particular client account will vary based on a number of factors including but not limited to: (i) the size of the account; (ii) market prices of individual securities at the time of investment; (iii) and individual client circumstances.) On August 1st 2014, the name of this composite was changed from the Horizon Asia Institutional Composite to the Horizon Asia Opportunity Composite, in order to better reflect the Firm's strategy of investing in companies and regions in which potential, long-term growth opportunities have been identified. The Firm reserves the right to modify its current investment strategies and techniques based on changing market dynamics or client needs. This Strategy may invest in both equity and fixed income securities without regard to market capitalizations or issue size. Horizon does not necessarily fully invest portfolios immediately after an account is funded. There can be no assurance that any securities discussed herein will remain in an account. The securities discussed may not represent an entire account and in the aggregate may represent only a small percentage of an account's holdings.

The following applies to all of the indices used in this document: Indices are presented merely to show general trends in the markets for the period and are not intended to imply that the strategy is benchmarked to the indices either in composition or level of risk. The indices are unmanaged, may or may not be investable, have no expenses and reflect reinvestment of dividends and distributions. Index data is provided for comparative purposes only. A variety of factors may cause an index to be an inaccurate benchmark .

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